

enough for a financial emergency cushion is a real necessity that will give you the peace of mind to get started on the rest.

↓ **LEARNING HOW TO REACH YOUR GOALS**

Once you've figured out what your goals are, you're ready to work toward achieving them. Use the table in Figure 2–1 to help. It gives you a rough idea of how much you'll need to put aside each month to end up with a specific dollar amount in a set number of years. The table assumes that inflation will be 3% and the money you put away will earn an interest rate of 4% before taxes. (No one can know what will happen to inflation and interest rates in the future, but these are reasonable estimates.) It also assumes that your combined federal, state, and local tax rate is 30%^{*} for the next 10 years. The table factors in tax rates because you'll have to pay taxes each year on the earnings you receive on certain investments. (For details on figuring out your tax rate, see Chapter 9.)

If you tend to be a good saver, you may not be fazed by the amount you'll need to save each month. If you're like most people, though, you'll probably have to set aside more than you think you can spare. Don't get discouraged. The next part of this chapter will help you figure out how to get this money from your current income. Even though you may ultimately decide you have to adjust your planned goal—or the amount of time it takes for you to reach it—at least you'll be on your way to making it happen.